

contains petroleum products on both import and export on the top. Developing countries have also emerged as major trading partner of India in the recent time. Asian countries like China, Taiwan, and Hong Kong are the major contributors in the Developing country group.

Table 19.4: Direction of India's Foreign Trade

Group/Country	2017-18		2018-19		2019-20		2020-21		2021-22	
	Export	Import	Export	Import	Export	Import	Export	Import	Export	Import
1	2	3	4	5	6	7	8	9	10	11
I. O E C D Countries	119622.4	126728.5	128175.0	144875.7	124021.6	133850.5	118613.9	116178.2	180759.5	163888.3
A. European Union	53603.8	47880.8	57203.1	58433.8	53738.9	51764.3	41370.8	39722.4	64975.3	51411.5
Of which:										
1. Belgium	6206.9	5993.4	6729.9	10469.2	5809.9	8879.5	5235.6	6940.7	10084.4	9951.7
2. France	4900.3	6524.2	5232.6	6665.7	5097.8	6168.8	4782.2	4343.2	6640.9	5782.1
3. Germany	8687.8	13295.7	8902.4	15161.1	8290.9	13691.1	8124.9	13643.0	9883.3	14968.1
4. Italy	5709.9	4706.9	5593.4	5292.4	4970.8	4490.9	4735.7	3862.1	8180.8	5048.5
5. Netherlands	6261.1	2512.6	8812.8	4062.8	8366.1	3391.0	6472.8	3317.7	12543.7	4478.1
B. North America	50384.6	31339.5	55257.7	39064.9	55940.6	39700.2	54583.9	31574.5	79931.0	46446.8
1. Canada	2506.2	4728.5	2851.4	3515.4	2851.8	3880.3	2960.8	2686.4	3764.0	3132.8
2. U S A	47878.5	26611.0	52406.3	35549.5	53088.8	35819.9	51623.1	28888.1	76167.0	43314.1
C. Asia and Oceania	9099.4	25610.8	8762.0	26534.7	7751.0	22738.7	8964.7	19553.6	14947.5	31530.8
Of which:										
1. Australia	4012.3	13993.7	3520.4	13131.2	2852.1	9782.2	4043.9	8247.3	8283.1	16756.2
2. Japan	4734.2	10973.4	4861.7	12772.7	4520.3	12434.7	4434.6	10924.7	6176.8	14399.8
D. Other O E C D Countries	6534.5	21897.3	6952.2	20842.3	6591.2	19647.2	13694.5	25327.7	20905.7	34499.2
Of which:										
1. Switzerland	1083.8	18923.0	1186.7	18087.6	1200.1	16899.9	1261.5	18231.0	1348.6	23392.3
2. U.K.	9691.1	4806.8	9309.3	7561.9	8737.9	6712.6	8157.6	4955.8	10461.3	7017.8
II. O P E C	44303.0	109358.2	48780.5	136548.7	48180.3	123832.4	33057.0	79651.6	50435.6	151000.9
Of which:										
1. Iran	2652.4	11111.5	3511.0	13525.6	3373.6	1397.3	1774.7	331.5	1451.1	463.4
2. Iraq	1462.2	17615.8	1788.7	22372.5	1878.2	23740.2	1499.0	14287.1	2403.3	31927.1
3. Kuwait	1365.7	7165.7	1333.9	7430.8	1286.6	9573.8	1054.2	5214.1	1241.9	11001.8
4. Saudi Arabia	5410.7	22070.0	5561.7	28479.2	6236.9	26857.4	5856.6	16186.8	8758.9	34100.6
5. U A E	28146.1	21739.1	30126.7	29785.3	28853.6	30256.6	16679.5	26623.0	28044.9	44833.5
III. Eastern Europe	3036.7	12914.5	3504.0	9465.6	4235.9	11964.0	4105.6	9161.4	4763.5	14051.5
Of which:										
1. Russia	2113.4	8573.5	2389.5	5840.4	3017.7	7093.0	2655.5	5485.7	3254.7	9870.0

IV. Developing Countries	133905.1	207286.8	146523.5	223040.7	134160.2	204837.8	135102.3	189365.8	184523.3	

A. Asia	100021.7	165945.0	108513.8	179905.5	95976.2	168033.1	98701.2	154908.3	130845.6	224151.1
a). S A A R C	23100.9	3202.7	25348.8	4363.0	21941.4	3835.6	22077.8	3377.1	34228.8	5486.4
1. Afghanistan	709.7	433.8	715.4	435.4	997.6	529.8	825.8	509.5	554.5	510.9
2. Bangladesh	8614.3	685.6	9210.1	1044.8	8200.7	1264.7	9691.6	1091.7	16156.4	1977.9
3. Bhutan	546.1	378.0	657.3	371.0	738.6	405.7	701.0	433.0	885.8	545.0
4. Maldives	217.0	5.7	223.0	20.4	226.6	6.0	195.9	24.5	670.4	68.9
5. Nepal	6613.0	438.4	7766.2	508.1	7160.3	711.6	6838.5	673.2	9645.7	1371.0
6. Pakistan	1924.3	488.6	2066.6	494.9	816.6	14.0	326.9	2.4	513.8	2.5
7. Sri Lanka	4476.5	772.6	4710.2	1488.4	3800.9	903.7	3498.2	642.9	5802.2	1010.0
b). Other Asian Developing Countries	76920.8	162742.3	83165.0	175542.5	74034.8	164197.5	76623.4	151531.2	96614.8	218664.7
Of which:										
1. People's Republic of China	13333.5	76380.7	16752.2	70319.6	16612.8	65260.7	21187.2	65212.3	21259.8	94570.6
2. Hong Kong	14690.3	10676.0	13002.0	17987.0	10967.1	16935.3	10162.4	15172.8	10984.8	19096.6
3. South Korea	4461.0	16361.8	4705.1	16759.0	4845.1	15659.7	4684.6	12773.0	8085.0	17477.2
4. Malaysia	5701.6	9011.6	6436.3	10818.6	6364.7	9782.3	6057.7	8373.1	6995.0	12424.2
5. Singapore	10202.8	7467.0	11572.3	16281.6	8922.7	14746.8	8675.5	13304.9	11150.6	18962.2
6. Thailand	3653.8	7134.5	4441.4	7441.8	4299.3	6788.4	4237.6	5682.3	5751.3	9332.6
7. Indonesia	3963.8	16438.8	5275.6	15849.7	4129.3	15061.9	5026.2	12470.2	8471.5	17702.8
B. Africa	21472.5	22673.0	24166.8	24449.4	24320.5	21797.8	23613.1	20149.3	34186.6	34941.9
Of which:										
1. Benin	479.7	223.0	426.9	375.8	326.6	358.9	555.2	326.0	716.4	402.1
2. Egypt Arab Republic	2392.3	1292.9	2886.4	1677.8	2504.2	2031.4	2264.4	1892.4	3743.9	3520.8
3. Kenya	1974.6	72.6	2071.8	137.1	2108.6	89.6	1895.8	130.3	2631.9	145.4
4. South Africa	3825.2	6834.7	4067.2	6517.3	4108.2	6969.8	3934.2	7568.2	6085.3	10965.8
5. Sudan	822.7	452.1	920.9	742.6	1096.9	396.8	1022.3	368.3	1077.2	129.2
6. Tanzania	1618.8	1029.7	1704.0	903.5	1740.1	1023.5	1439.1	934.9	2300.9	2279.2
7. Zambia	294.3	1095.0	319.1	510.5	247.6	843.3	268.9	126.5	341.0	118.2
C. Latin American Countries	12411.0	18668.9	13842.9	18685.8	13863.5	15006.9	12788.0	14308.2	19492.9	24941.2
V. Others	229.3	98.3	186.4	56.9	215.0	100.3	194.4	22.3	221.1	31.0
VI. Unspecified	2429.7	9194.6	2907.2	89.7	2547.0	123.5	733.3	56.4	1299.6	45.9
Total	303526.2	465581.0	330078.1	514078.4	313361.0	474709.3	291808.5	394435.9	422004.4	613052.0
Notes: 1. Data for 2020-21 are revised and for 2021-22 are provisional.										
2. Data for European Union excludes UK from 2020-21 onwards.										
Source : Directorate General of Commercial Intelligence and statistics.										

Source: Reserve Bank of India, Handbook on Statistics on Indian Economy.

19.4 COMPOSITION OF INDIA'S FOREIGN TRADE

International trade of India has witnessed a number of structural changes after independence under different planning period. The percentage share of non-traditional goods in total exports has constantly improved. Export basket of India

have shown a high growth rate of chemical and engineering goods. During past few years, handicrafts goods including gems and jewellery have become one the important commodities in India's export basket. Currently, India is also making exports of few traditional goods including tea, coffee, rice, pulses, spices, tobacco, jute, iron ore etc.

Table 19.5: India's Exports of Principle Commodities (US Dollar Million)

(US \$ Million)

Commodity / Year	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22
1	2	3	4	5	6	7
1. Tea	731.3	837.4	830.9	826.5	756.3	751.1
2. Coffee	842.8	968.6	822.3	738.9	719.7	1020.7
3. Rice	5733.8	7806.2	7750.6	6403.2	8829.2	9671.1
4. Other cereals	212.3	248.6	349.0	205.2	705.4	1087.4
5. Tobacco	958.7	934.3	981.3	905.1	876.7	923.6
6. Spices	2851.9	3115.4	3322.4	3621.4	3984.0	3896.0
7. Cashew	786.9	922.4	654.4	566.8	420.4	453.1
8. Oil Meals	805.4	1093.2	1508.6	827.9	1585.0	1031.9
9. Oil seeds	1355.2	1174.3	1156.8	1318.1	1235.7	1113.6
10. Fruits & Vegetables	2454.7	2513.3	2540.9	2380.5	2612.8	2883.1
11. Cereal preparations & miscellaneous processed items	1270.8	1416.6	1555.4	1527.0	1859.9	2280.7
12. Marine Products	5903.1	7389.2	6802.6	6722.1	5962.4	7772.4
13. Meat, dairy & poultry products	4368.8	4610.1	4363.7	3714.3	3658.0	4141.0
14. Iron Ore	1533.5	1471.1	1317.3	2625.0	4896.5	3248.2
15. Mica, Coal & Other Ores, Minerals including processed minerals	3578.2	3776.9	4254.7	3948.4	4331.8	5217.2
16. Leather & leather products	5165.6	5289.1	5140.8	4658.5	3301.4	4381.5
17. Ceramic products & glassware	1856.6	2131.8	2649.2	2870.6	3050.6	3464.8
18. Gems & Jewellery	43412.8	41544.4	40251.0	35898.5	26022.8	39099.1
19. Drugs & Pharmaceuticals	16785.0	17282.8	19146.6	20703.5	24444.0	24594.3
20. Organic & Inorganic Chemicals	12336.1	18508.5	22379.3	22082.8	22088.5	29364.8
21. Engineering Goods	67216.1	78695.7	83621.6	78704.4	76719.6	112163.4
22. Electronic Goods	5962.9	6393.1	8829.4	11700.6	11093.3	15660.4
23. Cotton Yarn/Fabs./made-ups, Handloom Products etc.	9862.2	10260.4	11215.1	10027.7	9827.9	15298.0
24. Man-made Yarn/Fabs./made-ups etc.	4557.1	4826.3	4980.5	4821.4	3806.3	5614.6
25. RMG of all Textiles	17368.2	16706.9	16138.3	15488.1	12272.2	16014.8
26. Jute Mfg. including Floor Covering	309.9	335.1	324.9	342.6	371.3	507.6
27. Carpet	1490.2	1429.8	1481.9	1373.3	1491.4	1789.9
28. Handicrafts excl. hand made carpet	1926.7	1823.3	1838.1	1797.9	1707.5	2088.2
29. Petroleum Products	31545.3	37465.1	46553.6	41288.7	25804.4	67471.7
30. Plastic & Linoleum	5796.5	6851.1	8607.5	7551.6	7462.9	9824.6
31. Other Commodities	16873.7	15705.2	18709.2	17720.6	19910.8	29175.6
Total Exports	275852.4	303526.1	330078.2	313361.0	291808.5	422004.4

Note : Data for 2021-22 are provisional and data for 2020-21 are revised.

Source : Directorate General of Commercial Intelligence and Statistics in 'Handbook of Statistics', RBI

Exports of India's principal commodities are presented in the table for the time period 2012-2013 to 2016-2017. Data reveals a diverse group of goods and services are exported from India. Engineering Goods, Petroleum Products, Gems

& Jewellery, Drugs & Pharmaceuticals, Tea and Rice are some of the highest exported goods from India.

**India's Trade:
Trends, Composition
and Challenges**

Table 19.6: Imports of Principle Commodities (US Dollar Million)

Commodity / Year	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22
1	2	3	4	5	6	7
1. Cotton Raw & Waste	946.9	979.3	633.1	1328.4	385.9	559.6
2. Vegetable Oil	10892.7	11637.5	9890.3	9672.9	11089.1	18991.6
3. Pulses	4244.1	2908.3	1140.8	1440.1	1611.7	2229.0
4. Fruits & vegetables	1783.4	2092.6	2143.9	2221.3	2273.4	2640.7
5. Pulp and Waste paper	975.1	1154.6	1311.7	1143.0	851.1	1600.5
6. Textile yarn Fabric, made-up articles	1502.5	1837.3	1900.0	1922.3	1501.5	2065.5
7. Fertilisers, Crude & manufactured	5024.0	5376.3	7467.4	7468.1	7597.3	14169.9
8. Sulphur & Unroasted Iron Pyrites	131.2	165.9	217.1	117.7	149.7	475.0
9. Metallic ferrous ores & other minerals	6194.2	9096.9	7583.3	5088.9	4626.1	8950.5
10. Coal, Coke & Briquettes, etc.	15759.9	22901.2	26177.8	22455.1	16274.5	31718.3
11. Petroleum, Crude & products	86963.8	108658.7	140920.6	130550.3	82683.9	161810.5
12. Wood & Wood products	4891.8	6027.3	6126.5	5612.2	4449.7	6136.4
13. Leather & leather products	935.3	1009.2	1057.7	1014.1	579.8	818.8
14. Organic & Inorganic Chemicals	16598.4	20631.5	23827.7	20617.1	19825.3	30291.9
15. Dyeing/tanning/colouring materials.	2282.7	2887.5	3221.9	2906.4	2734.0	3960.2
16. Artificial resins, plastic materials, etc.	11964.0	14487.7	15682.0	14633.7	13510.0	20230.6
17. Chemical material & products	5375.1	6663.4	7707.6	7643.2	8441.2	11148.0
18. Newsprint	849.9	776.7	977.7	700.6	294.1	344.7
19. Pearls, precious & Semi-precious stones	23808.6	34278.9	27075.7	22458.8	18888.0	31007.9
20. Iron & Steel	11683.0	14617.6	17656.7	15369.4	12035.9	17303.0
21. Non-ferrous metals	9868.8	12811.7	14733.0	13138.7	11716.6	17601.7
22. Machine tools	3034.6	3519.6	4642.5	4193.1	3169.6	4239.5
23. Machinery, electrical & non-electrical	28445.8	32908.9	37852.4	37691.9	30084.5	39942.5
24. Transport equipment	22687.7	22732.5	24775.8	25284.7	18649.2	20852.4
25. Project goods	2074.4	2077.6	2375.6	2025.5	1498.9	1356.0
26. Professional instrument, Optical goods, etc.	3857.2	4754.6	5187.4	5024.1	4528.2	6372.8
27. Electronic goods	41930.4	52890.7	57377.3	54397.9	54287.9	73674.2
28. Medcnl. & Pharmaceutical products	4995.0	5480.7	6359.5	6459.9	6974.6	9072.0
29. Gold	27518.0	33657.2	32910.1	28229.7	34603.9	46165.6
30. Silver	1839.2	3213.8	3748.2	2727.8	790.4	3276.2
31. Other Commodities	25299.2	23345.4	21397.4	21172.4	18329.6	24046.7
Total Imports	384357.0	465581.0	514078.4	474709.3	394435.9	613052.1

Note: Data for 2021-22 are provisional and data for 2020-21 are revised.

Source : Directorate General of Commercial Intelligence and Statistics in 'Handbook of Statistics, RBI'

Source: Directorate General of Commercial Intelligence and Statistics.

Major items of India's Imports during the last five years are presented in the Table 19.6. Data shows that Petroleum, Crude & products, Electronic goods,

Machinery, electrical & non-electrical, pulses and Gold are some of the top imported items of India. Besides, the imports of petroleum products, capital goods, carbon chemical and compounds, medical and pharmaceutical products are also imported in Indian Economy. India's international trade involved lot of intra- industry trade of different products like India imports pearls, gems and stone on large scale but after their processing these are exported back to another location from the country.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) Comment upon the trends of India's share in world trade from 2016-2021-22.

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- 2) Which commodities have been the first five principal commodities in Indian imports in the year 2020-21?

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19.5 CHALLENGES FACED BY FOREIGN TRADE OF INDIA

The Indian government is keen to stimulate foreign trade of India in recent years. Indian government has come up with numerous reforms and schemes to support foreign trade of India. Despite of these efforts, India faces significant challenges and rejections in its foreign trade from the world market. One of the important challenge and concern is India's share in the global market is only 1.94% in 2016 which is significantly low. Currently, Increment in tariff and non-tariff barriers, the global economic slowdown, increasing protectionism, the stalled Free-trade and multilateral agreements e.g., Free trade agreement with European Union is still not finalized and unfavourable foreign trade policies are major obstacles for External Sector of India. Manufacturing sector in India is failed to develop and India relay mostly on services trade which is volatile in nature. Thus, manufacturing sector in India must prepare for opportunities and greater engagement in an evolving multilateral trade arena. India's main concern is most of the traders are not able to meet global standards developed by World Trade Organization (WTO). In recent years, India has observed a growing trend

different tariff and non-tariff barriers imposed by India's trading partners to protect, favour, or stimulate domestic industries, service providers, or intellectual property at the expense of imported goods, services or foreign-owned or developed intellectual property. These barriers are also levied to protect health of domestic consumer and animal. These measures may operate as disguised barriers to trade and unreasonably differentiate between domestic and foreign products, services, intellectual property, or suppliers. These barriers are distorting foreign trade of India. A detailed assessment of the Enabling Trade Index (ETI) advocates that India imposes a significant import duty which is affecting India's International trade with the rest of the world. To some extent, it also deprives India of her foreign market access for exports.

- 1) *Tariff and non-tariff barriers*: Currently, India is facing significant amount of tariff and non-tariff barriers in its International Trade which restrict free flow of goods and services between countries. Trade barriers can either be tariff barriers which includes increase in import duties accordance with Article II of the GATT or non-tariff barriers, which are any trade barriers other than tariff barriers like, import licensing, Standards, testing, labelling & certification, Anti-dumping and countervailing measures, Export subsidies and domestic support. Taking the help of non-tariff barriers most of the countries are putting restrictions on India's Goods in their country.
- 2) *Global Crisis* – The global market faced recession in 2008 and in the first half of 2009 due to sub-prime crisis of USA in September 2007 and followed by EU crisis in 2009. Global crisis affected negatively on the demand for several Indian goods like Gems and Jewellery, Readymade Garments, Handicrafts and other. During these crisis exporters got lower demand and lower prices for Indian Commodities which affect negatively on the balance sheet of exporters.
- 3) *Decrease in Export Incentives* – Currently, Indian Government has reduced export incentives such as reduction in DBK rates, withdrawal of income tax benefits for majority of exporters etc. These reduction in the export incentives decrease the exports from India as competitiveness of Indian product decrease in the world market due to increment in their prices.
- 4) *Product Standards requirement*: In recent years, developed countries imposes higher product standards for developing countries like India. India and other developing countries need to undertake various laboratory tests addressed by importing countries. This increases the cost of product from India in International market and leads to decrease in export from India.
- 5) *Anti-Dumping duties*: Recent years, there is increment in anti-dumping measured imposed by developed countries to Indian products. E.g, The USA has decided to impose anti-dumping duty on stainless steel flanges

imported from India and China after it found in its preliminary probe that both the countries provided subsidies to the exporters³. Most of the time anti-dumping measures are justified. Therefore, India has to approach the dispute settlement body of WTO to resolve the dispute regarding anti-dumping duties imposed by USA. Till the dispute is resolved, Indian exporters lose business opportunities from USA market. These anti-dumping duties affect negatively on exports from India.

- 6) *Subsidies* – Developed country like EU and USA provide large subsidies to their producers. For instance, USA is giving subsidies to fertilizers and exporters, which decreases the cost of product in the international market supplied by USA. Therefore, exporters from India and other developing countries face competition in the world markets.
- 7) *Problems of Sea Pirates attack* – There is a major risk of pirate's attacks in the Gulf of Aden. Currently, India's most of the merchandise trade passes through this area. These increase the risk of Indian exporters.
- 8) *Large number of export documentation* – There are large number of documents are required for exporting goods from India. In India, every exporters are supposed to fill 25 documents averagely while exporting goods from India. Currently government is undertaking single window clearances for all these documents but still most of the small exporters are going for old way of documentation. Large number of export documentation act as barriers to trade from India.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) Give a brief of India's recent initiatives as part of its trade policy.

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- 2) Briefly discuss any two challenges faced by India's foreign trade.

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³ http://www.business-standard.com/article/economy-policy/us-slaps-anti-dumping-duty-on-steel-wire-imported-from-india-china-118032100368_1.html

19.6 LET US SUM UP

The unit discussed trade pattern, composition and challenges of India's foreign trade. This unit start with pattern of India's foreign trade after independence and explained the changing pattern of India's foreign Trade during various five year plan. Further, this unit discussed about direction and compositions of India's foreign trade in which it analysed India's trade with different countries with major commodities. Finally, this unit discussed major challenges and problems faced by India in its international trade.

19.7 KEY WORDS

Anti-Dumping

An anti-dumping duty is a protectionist tariff that a domestic government imposes on foreign imports that it believes are priced below fair market value

GATT

General Agreement on Tariffs and Trade (GATT) was a legal agreement between many countries, whose overall purpose was to promote international trade by reducing or eliminating trade barriers such as tariffs or quotas.

Tariff and Non-Tariff barriers

Tariff barriers refers to increase in import duties accordance with Article II of the GATT. Non-tariff barriers refers to any trade barriers other than tariff barriers like, Import licensing, Standards, testing, labelling & certification, Anti-dumping and countervailing measures, Export subsidies and domestic support.

SPS and TBT

SPS and TBT agreement are a category of nontariff barriers to trade. SPS stands for sanitary and phytosanitary measures under this agreement governments can apply food safety and animal and plant health measures to protect their economy under WTO. TBT stands for Technical barriers to trade. TBT use the measures such as labelling requirements, standards on technical specifications and quality standards, and other measures protecting the environment under International Trade

WTO

The World Trade Organization (WTO) is an intergovernmental organization that regulates international trade. The WTO officially commenced on 1 January 1995 under the Marrakesh Agreement, signed by 123 nations on 15 April 1994, replacing the General Agreement on Tariffs and Trade (GATT), which commenced in 1948. It is the largest international economic organization in the world.

19.8 SOME USEFUL REFERENCES

Datt and Sundaram, '*Indian Economy*', 72th edition, S. Chand and Sons, New Delhi.

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Reserve Bank of India, *Handbook on Statistics on Indian Economy*

Important links for Foreign Trade Database –

<https://www.trademap.org/Index.aspx?AspxAutoDetectCookieSupport=1>

<https://wits.worldbank.org/>

<http://www.commerce.gov.in/InnerContent.aspx?Type=TradeStatisticsmenu&Id=254>

<http://commerce-app.gov.in/eidb/default.asp>

https://www.fieo.org/view_section.php?lang=0&id=0,30,155

19.9 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Refer Section 19.1
- 2) Refer Section 19.4

Check Your Progress 2

- 1) Refer section 19.5
- 2) Refer section 19.6